RATING METHODOLOGY

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Contacts

Paolo Leschiutta +39.02.9148.1140
Senior Vice President
paolo.leschiutta@moodys.com

Linda Montag +1.212.553.1336
Senior Vice President
linda.montag@moodys.com

Mariko Semetko +81.3.5408.4209
Associate Managing Director
mariko.semetko@moodys.com

CLIENT SERVICES

Americas	1-212-553-1653
Asia Pacific	852-3551-3077
Japan	81-3-5408-4100
EMEA	44-20-7772-5454

Rating Methodology

Alcoholic Beverages

This rating methodology replaces the *Alcoholic Beverages* methodology published on 22 December 2021. We have made editorial changes throughout the methodology to enhance readability. These updates do not change our methodological approach.

Scope

This rating methodology applies to companies globally that are primarily engaged in the production, marketing and distribution of alcoholic beverages, including spirits, wine and beer.

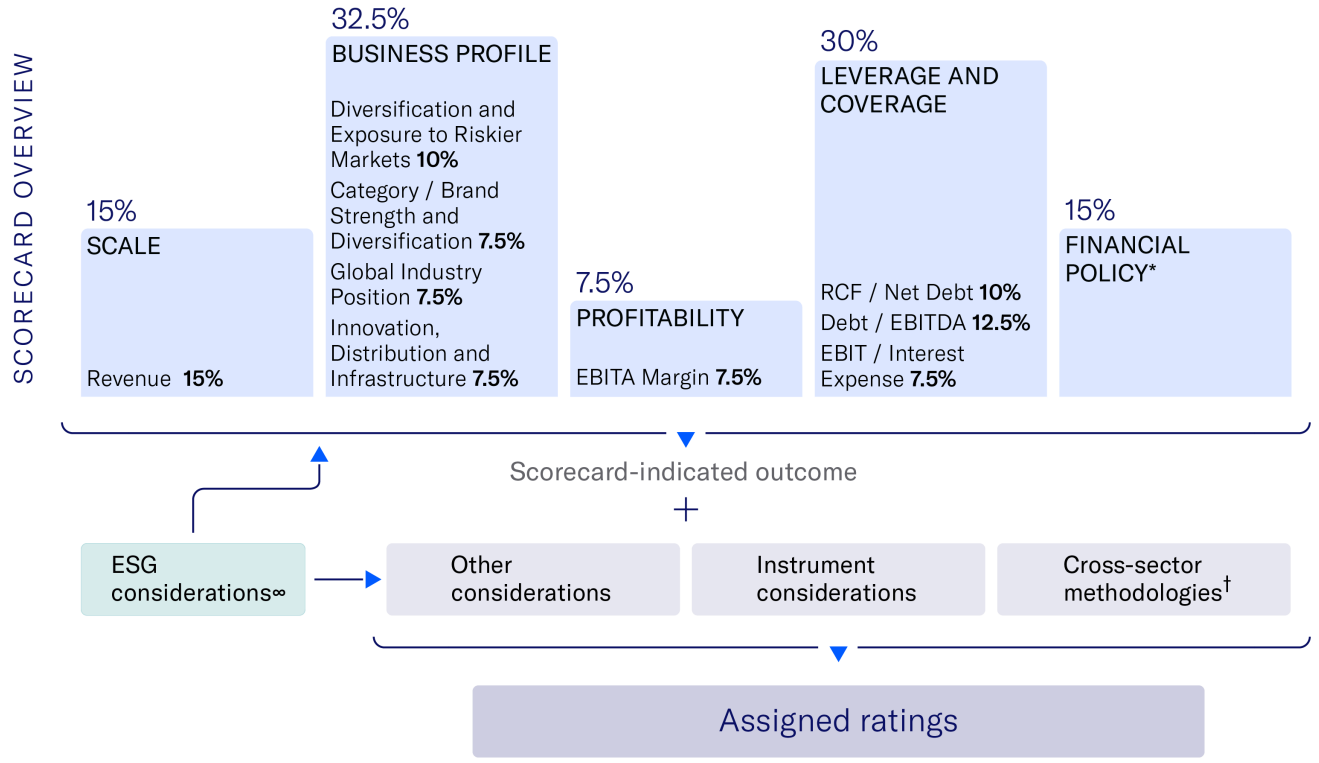
The determination of a company's primary business is generally based on the preponderance of the company's business risks, which are usually proportionate to the company's revenue, earnings and cash flows.

Rating approach

In this methodology, we explain our general approach to assessing credit risks of companies in this sector, including the quantitative and qualitative factors likely to affect rating outcomes.

The following exhibit illustrates our overall rating approach in the analysis of companies in this sector, which includes the use of a scorecard. The scorecard-indicated outcome may not match a company's assigned rating, which is determined by a rating committee. For more information, see the "Other considerations" and "Limitations" sections.

Exhibit 1
Illustration of the alcoholic beverages rating approach



* This factor has no subfactors.
∞ Environmental, social and governance (ESG) considerations, including, where available, our opinions of exposure to them as expressed in Issuer Profile Scores (IPSs), may affect scorecard factors and other considerations outside of the scorecard. For more information, see the "Other considerations" section.
† Some of the methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.
Source: Moody's Ratings

Scorecard

The scorecard in this methodology is a relatively simple reference tool that can be used in most cases to approximate credit profiles of companies in this sector and to explain, in summary form, many of the factors that are generally most important in assigning ratings. The scorecard may not include or address every consideration a rating committee may assess in assigning ratings to companies in this sector.

Exhibit 2

Alcoholic beverages scorecard

	SCALE (15%)	BUSINESS PROFILE (32.5%)				PROFITABILITY (7.5%)	LEVERAGE and COVERAGE (30%)			FINANCIAL POLICY (15%)
	Revenue (USD Billions)[1] (15%)	Diversification and Exposure to Riskier Markets (10%)	Category / Brand Strength and Diversification (7.5%)	Global Industry Position (7.5%)	Innovation, Distribution and Infrastructure (7.5%)	EBITA Margin[2] (7.5%)	RCF / Net Debt[3] (10%)	Debt / EBITDA[4] (12.5%)	EBIT / Interest Expense[5] (7.5%)	Financial Policy (15%)
Aaa	≥ $40	Global operations and worldwide distribution with typically no region accounting for more than 20% of sales and with extremely limited risk to sales due to exposure to riskier markets.	**Spirits**: Presence in three alcoholic beverage categories; extremely diverse portfolio covering essentially all spirits types; and 20 or more spirits brands in global top 100 rankings. **Wine**: Presence in three alcoholic beverage categories; extremely diverse portfolio of wine types covering all price points and a wide range of grape types; and at least 10 spirits brands in global top 100 rankings or a few beer brands in global top 15 rankings. **Beer**: Presence in three alcoholic beverage categories; extremely diverse portfolio of beer types covering multiple price points and flavors; and at least 5 spirits in global top 100 rankings and more than 5 brands in top 15 rankings, including several global brands.	Established market leader with undisputed position across almost all profit pools.	Track record of extremely strong and sustained investments in brands; excellent pipeline of new products with very strong growth potential; and infrastructure or route to consumer is a clear barrier to entry in almost all markets.	≥ 40%	≥ 70%	≤ 0.5x	≥ 20x	Expected to have extremely conservative financial policies (including risk and liquidity management); very stable metrics; essentially no event risk that would cause a rating transition; and public commitment to a very strong credit profile over the long term.

	SCALE (15%)	BUSINESS PROFILE (32.5%)				PROFITABILITY (7.5%)	LEVERAGE and COVERAGE (30%)			FINANCIAL POLICY (15%)
	Revenue (USD Billions)[1] (15%)	Diversification and Exposure to Riskier Markets (10%)	Category / Brand Strength and Diversification (7.5%)	Global Industry Position (7.5%)	Innovation, Distribution and Infrastructure (7.5%)	EBITA Margin[2] (7.5%)	RCF / Net Debt[3] (10%)	Debt / EBITDA[4] (12.5%)	EBIT / Interest Expense[5] (7.5%)	Financial Policy (15%)
Aa	$25 - $40	Very diversified operations and distribution with typically no region accounting for more than 30% of sales and with very limited risk to sales due to exposure to riskier markets.	**Spirits:** Presence in at least two alcoholic beverage categories; highly diverse portfolio covering most spirits types; and 15 or more brands in global top 100 rankings. **Wine:** Presence in at least two alcoholic beverage categories; highly diverse portfolio of wine types covering a wide range of price points and grape types; and 5 or more spirits brands in global top 100 rankings or one or two beer brands in global top 15 rankings. **Beer**: Presence in at least two alcoholic beverage categories; highly diverse portfolio of beer types covering multiple price points and flavors; at least 5 in top 15 rankings with more than two global brands.	No. 1 or No. 2 market position across almost all profit pools.	Strong levels of investments in brands; strong pipeline of new products with strong growth potential; and infrastructure or route to consumer is a solid competitive advantage in most markets.	35% - 40%	50% - 70%	0.5x - 1.5x	15x - 20x	Expected to have very conservative financial policies (including risk and liquidity management); stable metrics; minimal event risk that would cause a rating transition; and public commitment to a strong credit profile over the long term.
A	$15 - $25	Diversified operations and distribution with typically no region accounting for more than 40% of sales and with limited risk to sales due to exposure to riskier markets.	**Spirits**: Very diverse portfolio covering a broad range of spirits types; 10 or more brands in global top 100 rankings. **Wine**: Presence in at least two alcoholic beverage categories; broad range of wine types covering multiple price points and grape types; several globally recognized premium brands. **Beer**: Presence in at least two alcoholic beverage categories; very diverse portfolio of beer types covering multiple price points and flavors; at least three brands in top 15 rankings with at least one or two global brands.	No. 1 or No. 2 market position in multiple profit pools.	High levels of investments in brands; ability to develop new products with strong growth potential; infrastructure or route to consumer is a solid competitive advantage in core markets.	30% - 35%	35% - 50%	1.5x - 2.5x	10x - 15x	Expected to have predictable financial policies (including risk and liquidity management) that preserve creditor interests; although modest event risk exists, the effect on leverage is likely to be small and temporary; strong commitment to a solid credit profile.

	SCALE (15%)	BUSINESS PROFILE (32.5%)				PROFITABILITY (7.5%)	LEVERAGE and COVERAGE (30%)			FINANCIAL POLICY (15%)
	Revenue (USD Billions)[1] (15%)	Diversification and Exposure to Riskier Markets (10%)	Category / Brand Strength and Diversification (7.5%)	Global Industry Position (7.5%)	Innovation, Distribution and Infrastructure (7.5%)	EBITA Margin[2] (7.5%)	RCF / Net Debt[3] (10%)	Debt / EBITDA[4] (12.5%)	EBIT / Interest Expense[5] (7.5%)	Financial Policy (15%)
Baa	$7.5 - $15	Somewhat diversified operations and distribution with typically one region accounting for more than 40% of sales or with moderate risk to sales due to exposure to riskier markets.	**Spirits**: Well-diversified portfolio covering several spirits types; 5 or more brands in global top 100 rankings. **Wine**: Well-diversified portfolio of wine types covering a range of price points and grape types with a number of regionally well-recognized premium brands. **Beer**: Well-diversified portfolio of beer types, with at least one or two brands in top 15 rankings.	Solid competitor in multiple profit pools.	Good levels of investments in brands and to rejuvenate product pipeline; defensible infrastructure or route to consumer in core markets.	22.5% - 30%	20% - 35%	2.5x - 3.5x	4x - 10x	Expected to have financial policies (including risk and liquidity management) that balance the interests of creditors and shareholders; some risk that debt-funded acquisitions or shareholder distributions could lead to a weaker credit profile.
Ba	$2.5 - $7.5	Operations and distribution are concentrated with typically one region accounting for more than 75% of sales or with material risk to sales due to exposure to riskier markets.	**Spirits**: Moderately concentrated portfolio covering a limited number of spirits types; fewer than 5 brands in global top 100 rankings. **Wine**: Moderately concentrated portfolio of wine types covering a somewhat narrow range of price points, grape types or brands. **Beer**: Moderately concentrated portfolio of beer types, mostly regional and local brands, with limited number of beer types.	Tactical or defensive competitor in fragmented markets.	Adequate levels of investments in brands; possible gaps in product pipeline; adequate infrastructure or route to consumer but show some vulnerabilities.	15% - 22.5%	12.5% - 20%	3.5x - 4.5x	2x - 4x	Expected to have financial policies (including risk and liquidity management) that tend to favor shareholders over creditors; above-average financial risk resulting from shareholder distributions, acquisitions or other significant capital structure changes.

	SCALE (15%)	BUSINESS PROFILE (32.5%)				PROFITABILITY (7.5%)	LEVERAGE and COVERAGE (30%)			FINANCIAL POLICY (15%)
	Revenue (USD Billions)[1] (15%)	Diversification and Exposure to Riskier Markets (10%)	Category / Brand Strength and Diversification (7.5%)	Global Industry Position (7.5%)	Innovation, Distribution and Infrastructure (7.5%)	EBITA Margin[2] (7.5%)	RCF / Net Debt[3] (10%)	Debt / EBITDA[4] (12.5%)	EBIT / Interest Expense[5] (7.5%)	Financial Policy (15%)
B	$1 - $2.5	Operations and distribution are heavily concentrated with typically one region accounting for more than 90% of sales or with high risk to sales due to exposure to riskier markets.	**Spirits**: Moderately concentrated portfolio covering a limited number of spirits types. **Wine**: Small house concentrated in a narrow range of price points or grape types. **Beer**: Local beer company with concentrated portfolio of beer types.	Marginal competitor, with a volatile market position.	Limited investment or ability to develop new products and brands; somewhat inefficient or under-invested in infrastructure or route to consumer.	10% - 15%	5% - 12.5%	4.5x - 6.5x	1x - 2x	Expected to have financial policies (including risk and liquidity management) that favor shareholders over creditors; high financial risk resulting from shareholder distributions, acquisitions or other significant capital structure changes.
Caa	$0.5 - $1	Country, state or multi-state player or very high risk to sales due to exposure to riskier markets.	**Spirits**: Concentrated on one or two spirits types. **Wine**: Small wine house with only a few wine types. **Beer**: Specialty beer company with a few beer types only.	Market position is volatile and vulnerable to a new entrant or any other change.	Very limited investment in brand or product pipeline; inefficient infrastructure or route to consumer.	5% - 10%	0% - 5%	6.5x - 10x	0.5x - 1x	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring in varied economic environments.
Ca	< $0.5	Local player or extremely high risk to sales due to exposure to riskier markets.	**Spirits**: Concentrated on one spirit type. **Wine**: Small wine house with one or two products. **Beer**: Concentrated on one or two beer products.	Market position is unsustainable.	No investments in brands and essentially no product pipeline; lack of infrastructure or route to consumer.	< 5%	< 0%	> 10x	< 0.5x	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring even in healthy economic environments.

[1] For the linear scoring scale, the Aaa endpoint value is $100 billion. A value of $100 billion or better equates to a numeric score of 0.5. The Ca endpoint value is zero. A value of zero equates to a numeric score of 20.5.
[2] For the linear scoring scale, the Aaa endpoint value is 95%. A value of 95% or better equates to a numeric score of 0.5. The Ca endpoint value is 0%. A value of 0% equates to a numeric score of 20.5.
[3] For the linear scoring scale, when net debt is positive, the Aaa endpoint value is 100%. A value of 100% or better equates to a numeric score of 0.5. The Ca endpoint value is (5)%. A value of (5)% or worse equates to a numeric score of 20.5. When net debt is negative and RCF is positive, the numeric score is 0.5. When net debt is negative and RCF is negative or zero, the numeric score is 19.5.
[4] For the linear scoring scale, the Aaa endpoint value is 0x. A value of 0x or better equates to a numeric score of 0.5. The Ca endpoint value is 12x. A value of 12x or worse equates to a numeric score of 20.5, as does a negative Debt/EBITDA value.
[5] For the linear scoring scale, the Aaa endpoint value is 40x. A value of 40x or better equates to a numeric score of 0.5. The Ca endpoint value is 0x. A value of 0x or worse equates to a numeric score of 20.5.
Source: Moody's Ratings

Discussion of the scorecard factors

In this section, we explain why each scorecard factor or subfactor is a meaningful credit indicator, and we discuss our analytical approach to scoring each factor or subfactor. When a factor comprises subfactors, we score at the subfactor level. Some factors do not have subfactors, in which case we score at the factor level.

In assessing quantitative subfactors, we use information that we calculate or estimate from a company's financial statements or regulatory filings, or that we derive from other observations. We may incorporate nonpublic information qualitatively in our assessment.

Our ratings are forward-looking and reflect our expectations for future financial and operating performance. However, historical results are helpful in understanding patterns and trends in a company's performance, as well as for peer comparisons. We typically calculate or estimate financial metrics, unless otherwise indicated, based on an annual or other 12-month period. However, we may assess the scorecard factors using various periods. For example, we may find it analytically useful to examine both historical and expected future performance for periods of several years or more.

All of the quantitative credit metrics in the scorecard incorporate our standard adjustments to income statement, cash flow statement and balance sheet amounts for items described in our cross-sector methodology on financial statement adjustments for nonfinancial corporations.[1] We may also make nonstandard adjustments that are specific to a particular company.

For a discussion of scorecard mechanics, see the "Scorecard-indicated outcome" section.

Factor: Scale (15% weight)

Why it matters

Scale is an important indicator of the overall strength of a company's business, the size of its market and the company's relevance within an industry and the economy. Scale is also an indicator of a company's importance to its customers and its bargaining strength with suppliers, as well as its ability to invest resources to maintain its competitive position and expand its marketing and geographic reach.

How we assess it for the scorecard

We score this factor based on one quantitative subfactor: Revenue.

Revenue

We use total reported revenue in billions of US dollars to measure scale, or to estimate it in the case of forward-looking expectations.

Factor: Business Profile (32.5% weight)

Why it matters

The business profile of a company is important because it greatly influences its ability to generate sustainable earnings and operating cash flow.

Core aspects of an alcoholic beverage company's business profile are its geographic diversification and exposure to riskier markets for alcoholic beverages, the strength and diversification of its product portfolio, its overall industry position, as well as the strength and depth of its product innovation, distribution networks and infrastructure, all of which can reduce market, political and regulatory risks.

Diversification and Exposure to Riskier Markets

Geographic diversification provides a company with more cushion to withstand local or regional economic downturns and helps to smooth fluctuations in cash flow due to seasonality or the weather.

A company's level of exposure to riskier alcoholic beverage markets is also important, because the benefits of geographic diversification diminish where there is heightened exposure to riskier markets. For alcoholic beverage companies, riskier markets may be characterized by currency and economic volatility, political instability, markets with high excise taxes, tariffs or a lack of predictability in terms of government policies and regulations for alcoholic beverages.

Category/Brand Strength and Diversification

Diversity at the category level and at the brand level within categories is critical because having separate and counterbalancing streams of cash flow, particularly from a variety of demographic cohorts, supports financial stability. We define the three main alcoholic beverage categories as beer, wines, and spirits, which correspond to different demand characteristics. Within a category, brand strength is also an important credit consideration because a strong brand tends to lead to more consistent and sustainable cash flow over the long term.

Global Industry Position

Alcoholic beverage companies with strong market positions tend to be more profitable because of their larger local scale relative to peers, which yields benefits in terms of product distribution, bargaining power with suppliers and the ability to increase prices, e.g., to pass on higher costs to customers. Profitability can vary from one market to another, but it tends to be higher in markets where a company has a leading market position.

Innovation, Distribution and Infrastructure

Innovative products and packaging, as well as marketing strategies, are important in order for a company to adapt to changing consumer tastes, economic or environmental considerations, or to attract or maintain customer demand in mature, low-growth markets.

Proven innovation capacity and reliable infrastructure to distribute products to consumers can also support a company's market position. Companies with strong track records of successful innovation, solid relationships with distributors and reliable logistics infrastructure typically have stronger organic growth over time.

How we assess it for the scorecard

We score this factor based on four qualitative subfactors: Diversification and Exposure to Riskier Markets, Category/Brand Strength and Diversification, Global Industry Position, and Innovation, Distribution and Infrastructure.

Diversification and Exposure to Riskier Markets

We score this subfactor primarily based on sales diversification by region, country or state, as well as on the risks to sales owing to exposure to riskier markets.

We typically define regions as broad geographic areas where economic conditions and consumer behavior and consumption trends for alcoholic beverages are similar. There can be multiple regions within a continent or even some countries. Companies with more diversified operations and low sales concentration in any region typically receive higher scores for this subfactor than companies with very high sales concentration in a given region or single country. Companies that operate within a single, large country and that benefit from a diverse pool of customers would typically receive a higher score for this subfactor than companies that operate in a smaller country with a concentrated pool of customers.

Companies with exposure to riskier alcoholic beverage markets may receive lower scores for this subfactor. We typically define riskier alcoholic beverage markets as geographic areas that are susceptible to heightened economic (including currency) instability, or political or regulatory interference to the sale of alcoholic beverages. We typically consider the amount of overall sales exposed to these risks as well as the extent of these risks. We also typically consider policy dynamics in the regions of operations that may affect the supply of alcoholic beverages, such as higher taxes, restrictions on sales or a ban on sales. Companies with a presence in markets with higher risks to overall alcoholic beverage sales typically receive lower scores for this subfactor.

Category/Brand Strength and Diversification

We define the three main alcoholic beverage categories as beer, wines and spirits, which correspond to different demand characteristics. We typically consider whether a company produces and distributes more than one category of alcoholic beverage. We also consider whether a company is present in multiple types within each category, including premium and nonpremium products or types of beer (such as lagers and specialty beers), wines (such as premium, value, domestic or imported), and spirits (such as whiskeys,

brandies, vodka, gin, rum and tequila, or premium, super-premium or craft products). In this methodology, we use the terms "product" and "type" interchangeably. Brands can include several types of alcoholic beverages.

Companies that are present in more than one category of alcoholic beverages or have well-diversified types of products in their portfolios tend to have more cash flow stability and typically receive higher scores for this subfactor.

In assessing product diversification, we also consider the strength of the brands in the company's portfolio because the benefits of diversification are more sustained with stronger brands. In some cases, the strength of a company's portfolio of brands can mitigate the negative effects of lower diversification. Our assessment of brand strength typically considers data compiled by industry sources that rank brands globally, typically based on the volumes of spirits, wines, and beers sold and shipped. We may also consider the overall trend of market share as an indicator of a company's ability to sustain its sales volumes and leverage its brand strength in order to increase prices. We also typically assess a company's track record and potential for maintaining or improving its operating margins year over year and its profitability relative to competitors.

We may also consider a company's ability to generate cash flow from products or services other than alcoholic beverages that offer growth opportunities, e.g., beverages with little or no alcohol but that belong to one of the three defined categories.

Global Industry Position

We score this subfactor primarily based on an assessment of a company's market position in its profit pools (i.e., the amount of profit within a market). We assess market position based on volume in absolute terms and whether the company is gaining or losing market share. We typically base our assessment on information from third-party data providers and the companies.

Innovation, Distribution and Infrastructure

We score this subfactor primarily based on a company's track record for investing in its brands. We consider a company's ability to develop new products with strong growth potential. Innovation can take many forms, encompassing new products, product extensions, new packaging and labels, and innovative advertising and promotion.

We also consider the quality and depth of a company's overall distribution network, typically including the quality of its supply chain, the strength of its relationships with its wholesalers, distributors or retailers, and its strength within on-premise and off-premise distribution channels. On-premise sales are sales of alcoholic beverages in restaurants, pubs, bars, nightclubs and other venues, whereas off-premise sales are sales of alcoholic beverages outside the site of consumption, for example, in supermarkets, petrol stations and kiosks.

An alcoholic beverage company's digital strategy and online presence, including resources and technologies to analyze market data and enhance the distribution process, may also be an important consideration.

Factor: Profitability (7.5% weight)

Why it matters

A company's profitability matters because it supports the generation of sustainable cash flow and reflects the strength of the company's competitive position. Profitability also provides insights into a company's ability to manage key costs and pass them on to customers, which is an important indicator of the long-term viability of its business model. Strong profitability and operating efficiency can help a company to withstand economic and cyclical downturns that affect its competitive position and credit metrics.

How we assess it for the scorecard

We score this factor based on one quantitative subfactor: EBITA Margin.[2]

EBITA Margin

We use the ratio of earnings before interest, taxes and amortization (EBITA) to revenue.

Factor: Leverage and Coverage (30% weight)

Why it matters

Leverage and debt service coverage provide insight into the level of risk a company is willing to undertake. The degree of leverage is an important indicator of a company's financial flexibility, its ability to invest in growth opportunities and its capacity to pay debt service.

How we assess it for the scorecard

We score this factor based on three quantitative subfactors: RCF/Net Debt; Debt/EBITDA; and EBIT/Interest Expense.[3]

RCF / Net Debt

We use the ratio of retained cash flow (RCF) to net debt.

Debt / EBITDA

We use the ratio of total debt to earnings before interest, taxes, depreciation and amortization (EBITDA).

EBIT / Interest Expense

We use the ratio of earnings, before interest and taxes (EBIT) to interest expense.

Factor: Financial Policy (15% weight)

Why it matters

Financial policy is an important rating determinant because it directly affects a company's debt levels, its strategic direction, the risk of adverse changes in financing and capital structure, and its overall credit quality. Financial policy encompasses the tolerance of management and the board for financial risk and their level of commitment to maintaining a strong credit profile.

Financial risk tolerance serves as a guidepost for investment and capital allocation. Liquidity management is an important aspect of financial policy and can provide insight into risk tolerance. Liquidity management is distinct from the level of liquidity, which we discuss in the "Other considerations" section.

How we assess it for the scorecard

We assess qualitatively a company's targeted credit profile or desired capital structure, and its ability to achieve its targets. We also consider a company's complexity and transparency, its track record of risk and liquidity management, and its public commitments and history of adhering to its commitments in these areas. We also consider management's operating performance and use of cash flow through different phases of economic and industry cycles, as well as how management responds to key events, such as changes in the credit markets and liquidity environment, legal actions, competitive challenges and regulatory pressures.

When considering event risks in the context of scoring financial policy, we assess the likelihood and potential effect of M&A or other types of balance-sheet-transforming events. We assess management's appetite for M&A activity, with a focus on the type of transactions (i.e., core competency or new business) and funding decisions. We also evaluate the frequency and materiality of acquisitions and previous financing choices. A history of debt-financed or credit-transforming acquisitions generally results in a lower score for this factor. We may also consider a company's willingness to sell itself and the negative repercussions that could result, such as through a leveraged buyout transaction.

We also consider a company's and its owners' past record of balancing shareholder returns and debtholders' interests. We are likely to take a negative view in scoring this factor when a company has a track record of favoring shareholder returns at the expense of debtholders.

Other considerations

Ratings may reflect other considerations that are not in the scorecard, usually because the credit importance of these considerations varies widely among companies in this sector or because they may be important only under certain circumstances or for a subset of companies. Such considerations can include financial controls and the quality of financial reporting; corporate legal structure; the quality and experience of management; assessments of corporate governance, as well as environmental and social considerations; exposure to uncertain licensing regimes; and possible government interference in some countries. Regulatory, litigation, liquidity,

technology and reputational risk, as well as changes to consumer and business spending patterns, competitor strategies and macroeconomic trends can also be considerations that affect ratings.

The following are examples of other considerations that may be reflected in our ratings and may cause ratings to be different from scorecard-indicated outcomes.

Environmental, social and governance considerations

Where environmental, social and governance (ESG) issues are meaningful for credit profiles, we incorporate them into our ratings analysis in a variety of ways in the application of our sector-specific methodologies. As one part of our overall credit analysis, we consider how ESG considerations could affect the qualitative and quantitative factors and subfactors in the scorecard.

Even where ESG considerations do not affect the measures in the scorecard, or where they cannot be quantified, we incorporate them into our overall analysis of credit drivers that are meaningful to the rating. As a result, we may incorporate these ESG risks qualitatively outside of the scorecard. As part of our ratings analysis, we may establish Issuer Profile Scores (IPSs), which indicate our opinion of the extent to which a given company is exposed to E, S and G risks (incorporating ESG-specific mitigants) or benefits from its exposure to E, S or G. The IPSs are inputs to credit ratings. For more information, see our methodology that describes our general principles for assessing ESG risks.[4]

Social risks, including not only shifts in consumer tastes that can accompany changing demographics but also evolving regulatory and societal attitudes toward products containing alcohol, can affect demand for alcoholic beverages. The impact would generally depend on the mix of alcoholic categories and brands in a company's portfolio against demand trends and may affect a company's score for the Category/Brand Strength and Diversification subfactor, for example.

The main source of environmental risk is a potential lack of clean water. In addition, severe droughts that limit the production of grapes and grains, from which most alcoholic beverages are made, can result in increasing costs. However, ingredients represent a relatively small percentage of total costs, and companies are typically able to pass along these costs to consumers. Alcoholic beverage companies, especially larger companies, can diversify their sources of water and agricultural inputs, which could mitigate this risk.

Liquidity

Liquidity is an important rating consideration for all companies, and extremely weak liquidity can heavily affect ratings in many cases. Our liquidity assessment can be particularly important where there are significant short-term demands on a company's liquidity, for example, in highly seasonal operating environments where working capital needs must be considered. We form an opinion on likely short-term liquidity requirements from the perspective of both sources and uses of cash. For more information, see our liquidity cross-sector methodology.[5]

Regulatory considerations

Companies in this sector are subject to varying degrees of regulatory oversight. Effects of these regulations may entail limitations on operations, higher costs, and higher potential for technology disruptions and demand substitution. Regional differences in regulation, implementation or enforcement may advantage or disadvantage a particular company.

Our view of future regulatory requirements is important because it is the basis for our expectations of future financial metrics and of a company's ability to generate sufficient cash flow relative to its debt burden over the medium and longer term.

In this sector, regulatory considerations also play a role in our assessment of a company's business profile. However, we may assess certain aspects of regulatory considerations outside of the scorecard, for instance when considering the effects on a company's credit quality if regulatory change is swift.

Financial controls

We rely on the accuracy of audited financial statements to assign and monitor ratings in this sector. The quality of financial statements may be influenced by internal controls, including the proper tone at the top, centralized operations, and consistency in accounting policies and procedures. Auditors' reports on the effectiveness of internal controls, auditors' comments in financial reports and unusual restatements of financial statements or delays in regulatory filings may indicate weaknesses in internal controls.

Management strategy

The quality of management is an important factor supporting a company's credit strength. Assessing the execution of business plans over time can be helpful in assessing management's business strategies, policies and philosophies, and in evaluating management performance relative to that of competitors and our projections. Management's track record of adhering to stated plans, commitments and guidelines provides insight into management's likely future performance, including in stressed situations.

Excess cash balances

Some companies in this sector may maintain cash balances (meaning liquid short-term investments, as well as cash) that far exceed their operating needs. This excess cash can be an important credit consideration.

The amount of cash required to run a business can vary materially based on the regions of operation and the specific subsectors in which a company operates. As a result, we typically assess cash on the balance sheet qualitatively, taking into account a company's track record and its financial and liquidity policies. Cash holdings may be a material mitigant in our scenario analyses of potential acquisitions, share buybacks or special dividends. We assess possible uses of cash, especially for companies that may be acquisitive or under pressure to return cash to shareholders. By contrast, some companies maintain large cash holdings for long periods in excess of their operating and liquidity needs solely because of conservative financial policies, which provides a stronger indication of an enduring approach that will benefit creditors. Large cash holdings provide some buffers against credit deterioration, and we typically consider cash balances in our analysis of near-term liquidity sources and uses. See the "Liquidity" section for more information.

In accordance with our view of how a company will use its cash, we may use total debt or net debt in our forward-looking view of credit metrics for the Leverage and Coverage factor. We may also cite rating thresholds based on these metrics.

Additional metrics

The metrics included in the scorecard are those that are generally most important in assigning ratings to companies in this sector; however, we may use additional metrics to inform our analysis of specific companies. These additional metrics may be important in our forward-looking view of metrics in the scorecard or in other rating considerations.

Non-wholly owned subsidiaries

Some companies in this sector choose to dilute their equity stake in certain material subsidiaries, such as through an initial public offering or a sale to a private investor, which may, in some cases, negatively affect future financial flexibility. While such transactions may improve cash holdings on a one-off basis, selling minority interests in subsidiaries may have a negative effect on cash flow available to the parent company that consolidated financial statements may not fully reflect. For example, in the case of an equity stake reduction in a subsidiary down to 75%, in the parent's financial statements, the subsidiary's revenue and EBITDA would typically still be consolidated at the group level.

The presence of minority stakes can increase structural subordination and reduce the parent's share of dividend flows from a non-wholly owned subsidiary. While less frequent, the sale of a minority stake may have provisions that further limit the parent's financial flexibility, for instance restrictions on cash pooling with other members of the corporate family, limitations on dividends and distributions, or arms-length business requirements. Minority stakeholders may have seats on the board of the subsidiary.

In many cases, we consider the impact of non-wholly owned subsidiaries qualitatively. For example, we may find that an additional view of financial results, such as analyzing cash flow on a proportional consolidation basis, may be useful to inform our analysis. When equity dilution or structural subordination from non-wholly owned subsidiaries is material and negative, the credit impact is captured in our ratings.

For companies that hold material minority interest stakes (investor companies), consolidated funds from operations typically includes the dividends received from the equity-accounted entity, while none of its debt is consolidated. The investor company's cash flow may be subject to interruption if it is required for the equity-accounted entity's debt service, capital expenditures or other cash needs. The debt of the equity-accounted entity is structurally senior to the investor company's debt. When an equity-accounted entity has a material level of debt, we may estimate one or more of the investor company's financial metrics using proportional consolidation or another approach to inform our analysis of consolidated financials and capture the credit impact of these considerations in our ratings.

Event risk

We also recognize the possibility that an unexpected event could cause a sudden and sharp decline in a company's fundamental creditworthiness, which may cause the assigned rating to be lower than the scorecard-indicated outcome. Event risks — which vary and can range from leveraged recapitalizations to sudden regulatory changes or liabilities from an accident — can overwhelm even a stable, well-capitalized company. Other types of event risks may include M&A, asset sales, spinoffs, shareholder distributions, litigation, natural disasters, pandemics, significant cybercrime events and geopolitical conflicts.

Parental support

Ownership can provide ratings lift for a particular company if it is owned by a highly rated owner or owners who view it to be of strategic importance. In our analysis of parental support, we consider whether the parent has the financial capacity and strategic incentives to provide support to the company in times of stress or financial need (e.g., a major capital investment or advantaged operating agreement), or if it has done so in the past. Conversely, if the parent puts a high dividend burden on the company, which in turn reduces its flexibility, the ratings will reflect this risk. For more information, see our cross-sector methodology on assessing the impact of financial support from a parent, subsidiary or affiliate in the absence of a guarantee.[6]

Government-related issuers may receive ratings uplift from expected government support. However, for certain companies, government ownership can have a negative effect on the underlying Baseline Credit Assessment (BCA). For example, price controls, onerous taxation and high distributions can have a negative effect on a company's underlying credit profile. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers.[7]

Other institutional support

In some countries, large companies have received government or banking support in the event of financial difficulties because of their overall importance to the functioning of the economy. We consider whether group and banking relationships may provide support when systemically important companies encounter significant financial stress.

As a notable example, some of our corporate ratings in Japan incorporate the government or banking support we expect to be provided, based on historical experience, to large and systemically important companies. Over the years, this support has resulted in lower levels of default for Japanese companies than might otherwise have occurred.

Seasonality

Seasonality is an important driver of customer demand and can cause swings in cash balances and working capital positions for companies in this sector. Seasonality may be prevalent in some alcoholic beverage product segments, such as beer, which is consumed more during summer. Higher volatility creates less room for errors in meeting customer demand or operational execution.

Scorecard-indicated outcome

We arrive at a scorecard-indicated outcome by first mapping the outcome for each factor or subfactor to a numeric score, and then by producing an aggregate numeric score and the equivalent alphanumeric outcome.

Mapping scorecard factors to a numeric score

We map the outcome of each factor or subfactor in the scorecard to a broad Moody's rating category and to a corresponding numeric score. We score qualitative factors and subfactors based on the description by broad rating category in the scorecard. The following exhibit shows the numeric score that corresponds to each broad rating category.

Exhibit 3

Numeric scores for qualitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
1	3	6	9	12	15	18	20

Source: Moody's Ratings

We score quantitative factors and subfactors on a linear continuum. For each metric, the scorecard shows the range by broad rating category. We use the scale in the following exhibit and linear interpolation to convert the metric, based on its placement within the scorecard range, into a numeric score, which may be a fraction. As an illustrative example, if the Baa range for the ratio of revenue

to interest is 50x to 100x, the numeric score for a company with a ratio of 99x – relatively strong within this range – would be closer to 7.5, while the numeric score for a company with a ratio of 51x – relatively weak within this range – would be closer to 10.5. In the scorecard footnotes, we define the endpoints of the line (i.e., the metric values that equate to the highest possible numeric score and the lowest possible numeric score).

Exhibit 4
Ranges of numeric scores for quantitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
0.5 - 1.5	1.5 - 4.5	4.5 - 7.5	7.5 - 10.5	10.5 - 13.5	13.5 - 16.5	16.5 - 19.5	19.5 - 20.5

Source: Moody's Ratings

Determining the overall scorecard-indicated outcome

We multiply the numeric score for each subfactor (or each factor, when the factor has no subfactors) by the weight of that subfactor (or factor) and sum the results to produce an aggregate numeric score. We map the aggregate numeric score back to a scorecard-indicated outcome using the ranges in the following exhibit.

Exhibit 5
Scorecard-indicated outcome

Aggregate numeric score	Scorecard-indicated outcome
x ≤ 1.5	Aaa
1.5 < x ≤ 2.5	Aa1
2.5 < x ≤ 3.5	Aa2
3.5 < x ≤ 4.5	Aa3
4.5 < x ≤ 5.5	A1
5.5 < x ≤ 6.5	A2
6.5 < x ≤ 7.5	A3
7.5 < x ≤ 8.5	Baa1
8.5 < x ≤ 9.5	Baa2
9.5 < x ≤ 10.5	Baa3
10.5 < x ≤ 11.5	Ba1
11.5 < x ≤ 12.5	Ba2
12.5 < x ≤ 13.5	Ba3
13.5 < x ≤ 14.5	B1
14.5 < x ≤ 15.5	B2
15.5 < x ≤ 16.5	B3
16.5 < x ≤ 17.5	Caa1
17.5 < x ≤ 18.5	Caa2
18.5 < x ≤ 19.5	Caa3
19.5 < x ≤ 20.5	Ca
x > 20.5	C

Source: Moody's Ratings

For example, a company with an aggregate numeric score of 11.7 would have a Ba2 scorecard-indicated outcome.

In general, the scorecard-indicated outcome is oriented to the senior unsecured rating for investment-grade companies and the corporate family rating (CFR) for speculative-grade companies. For companies that benefit from rating uplift from parental support, government ownership or other institutional support, we consider the underlying credit strength or BCA for comparison to the scorecard-indicated outcome. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers.[8]

Assigning issuer-level and instrument-level ratings

After considering the scorecard-indicated outcome, other considerations and relevant cross-sector methodologies, we typically assign a senior unsecured rating for investment-grade companies and a CFR for speculative-grade companies. For government-related issuers, we assign a BCA.

We may notch individual debt instrument ratings upward or downward from the senior unsecured rating or the CFR to reflect our assessment of differences in expected loss related to an instrument's seniority level and collateral. For more information, see our cross-sector methodologies on loss given default for speculative-grade nonfinancial companies, notching corporate instrument ratings based on differences in security and priority of claim, and assigning short-term ratings.[9]

Key rating assumptions

For information about key rating assumptions that apply to methodologies generally, see *Rating Symbols and Definitions*.[10]

Limitations

In the preceding sections, we have discussed the scorecard factors and other considerations that may be important in assigning ratings. In this section, we discuss limitations that pertain to the scorecard and to the overall methodology.

Limitations of the scorecard

There are various reasons why scorecard-indicated outcomes may not map closely to assigned ratings.

For example, the scorecard may not fully capture credit loss and recovery considerations, which typically become more important as a company gets closer to default. The scorecard is also limited by its upper and lower bounds, causing scorecard-indicated outcomes to be less likely to align with ratings for companies at the upper and lower ends of the rating scale.

The weights of each scorecard factor and subfactor approximate their importance for rating decisions across the sector, but the importance of a particular factor may vary substantially based on an individual company's circumstances.

Factors outside the scorecard, including those discussed in the "Other considerations" section, may be important for ratings, and their relative importance may also vary from company to company. In addition, certain broad methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector.[11] These considerations include how sovereign credit quality affects nonsovereign issuers, the assessment of credit support from other entities, the relative ranking of different classes of debt and hybrid securities, and the assignment of short-term ratings.

We may use the scorecard over various historical or forward-looking periods. Furthermore, in our ratings we often incorporate directional views of risks and mitigants in a qualitative way.

General limitations of the methodology

This methodology does not include an exhaustive description of all the factors we may consider in assigning ratings in this sector. Companies in this sector may face new risks or new combinations of risks, and they may develop new strategies to mitigate risk. We seek to incorporate all material credit considerations in our ratings and to take the most forward-looking perspective that visibility into these risks and mitigants permits.

Ratings reflect our expectations for a company's future performance; however, as the forward horizon lengthens, uncertainty increases and the utility of precise estimates, as scorecard inputs or in other considerations, typically diminishes. Our forward-looking opinions are based on assumptions that may prove, in hindsight, to have been incorrect. Reasons for this could include unanticipated changes in any of the following: the macroeconomic environment, general financial market conditions, industry competition, disruptive technology, or regulatory and legal actions. In any case, predicting the future is subject to substantial uncertainty.

Moody's related publications

Credit ratings are primarily determined through the application of sector methodologies. Certain broad methodological considerations (described in one or more cross-sector methodologies) may also be relevant to the determination of credit ratings of issuers and instruments. A list of sector and cross-sector methodologies can be found here.

Data summarizing the historical robustness and predictive power of credit ratings can be found here.

For more information, see *Rating Symbols and Definitions*, which is available here.

Endnotes

1 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

2 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

3 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

4 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

5 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

6 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

7 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

8 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

9 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

10 A link to *Rating Symbols and Definitions* can be found in the "Moody's related publications" section.

11 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

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Authors

Ernesto Bisagno, CFA

Daniel Marty

CLIENT SERVICES

Americas	1-212-553-1653
Asia Pacific	852-3551-3077
Japan	81-3-5408-4100
EMEA	44-20-7772-5454